

US Rates Research

Honey, I Shrunk the Basis

Treasury's scaled-up long-end buyback program may have accelerated the decline in leverage demand, as funds likely see even fewer RV opportunities ahead. Slackening demand for leverage suggests softer funding, but slowing MMF AUM growth is an emerging offset. We still favor being short Oct SOFR/FF.

- A key theme this year for rates investors has been eSLR reform, which has dramatically increased intermediation capacity at the largest US banks. With more activity moving to bank balance sheets, RV opportunities, such as basis, have compressed. That means leverage demand from hedge funds, such as in Treasury repo to finance the cash leg of basis trades, has likely fallen.
- Treasury's surprise increase in long-end buybacks likely reinforces this trend by compressing long-end volatility and further shrinking the RV opportunity set. Less RV activity means less hedge fund demand for Treasury repo financing, raising the risk that funding stays softer for longer.
- This also suggests an unintended benefit of the scaled-up buyback program: it helps support swap spreads. Reduced demand for leverage leads to smoother funding markets, and buybacks temper any long-end sell-off. Treasury should view this as reducing its issuance costs.
- Even with a further decline in leverage demand, we still expect pockets of pressure to emerge in Q4. An emerging offset to slack in financing demand has been a recent slowing in money fund AUM growth relative to the past two years, as cash is increasingly being allocated to bank deposits.
- All told, we still see conditions as likely to lead to incremental pressures from cumulative bill issuance, a higher TGA, the Fed's RMP pause, and GSIB score management in Q4. We continue to recommend being short October SOFR/FF (entry -1.5bp).

One of the key market themes for front-end investors this year has been eSLR reform and its impact on funding markets as well as relative value trades. This reform has unlocked leverage exposure at the US GSIBs, creating higher capacity for low-risk, low-return activities such as cash Treasury trading and repo market intermediation. Over Q1 and Q2, US GSIBs increased their leverage exposure by \$1.7trn, and Q2 Y-9C data suggests more than \$4trn of remaining

Samuel Earl

+1 212 526 5426

samuel.earl@barclays.com

BCI, US

Amrut Nashikkar

+1 212 412 1848

amrut.nashikkar@barclays.com

BCI, US

Andres Mok, CFA

+1 212 526 8690

andres.mok@barclays.com

BCI, US

This document is intended for institutional investors and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors under U.S. FINRA Rule 2242. Barclays trades the securities covered in this report for its own account and on a discretionary basis on behalf of certain clients. Such trading interests may be contrary to the recommendations offered in this report.

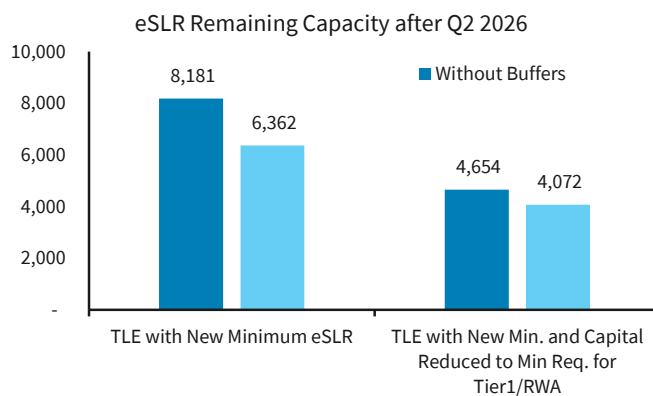
Please see analyst certifications and important disclosures beginning on page 6.

Completed: 03-Sep-26, 10:50 GMT Released: 03-Sep-26, 11:00 GMT Restricted - External

capacity ([Figure 1](#)). That means eSLR is not, nor likely will be in the near future, a binding constraint.

One effect of eSLR reform is that dealers have increasingly become the suppliers of short Treasury futures, meeting incremental long futures demand from asset managers, rather than that exposure being supplied by leveraged funds engaging in Treasury cash-futures basis activity. That has left basis opportunities few and far between as returns from that activity have compressed, with futures trading less rich. We have written about this several times this year, most recently in July (see [Dude, Where's My RV?](#)).

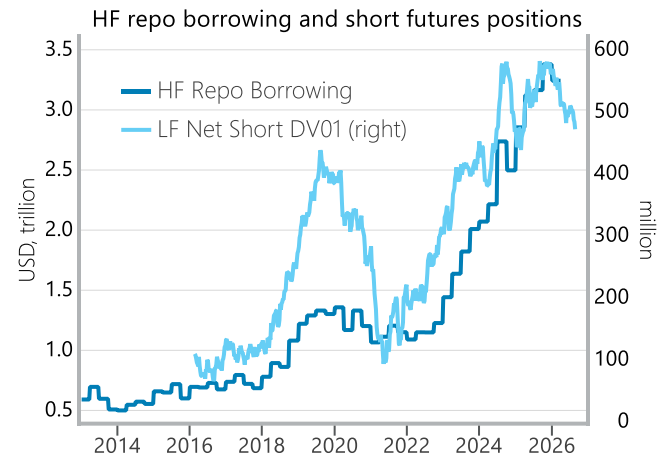
FIGURE 1. US GSIBs still have ample leverage capacity



We assume Tier 1 capital/RWA management buffer of 50bp and SLR management buffer of 25bp.

Source: S&P Capital IQ, Barclays Research

FIGURE 2. Short futures positions have declined, and repo borrowing likely has as well...



Source: CFTC, OFR, Barclays Research

Since that report, it appears that this trend accelerated further in August. CFTC positioning data, measured by both open interest and DV01, show a further drawdown in leveraged fund net shorts, indicating an even greater pullback in RV activity ([Figure 2](#)). This has been mirrored by a decline in SOFR volumes, reflecting less overnight funding demand, as well as a fall in sponsored DVP repo activity to the lowest levels of the year ([Figure 3](#) and [Figure 4](#)).

Why the further drawdown? While we think part of the story reflects the broader post eSLR reform trend, we have yet to see much pickup in dealer trading books since the surge in Q1.

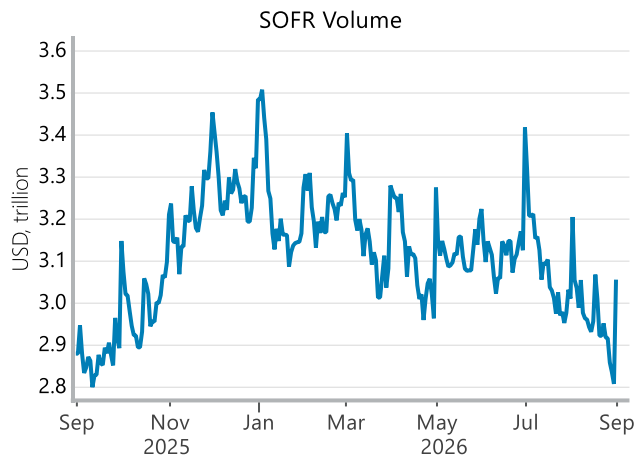
So beyond that we think there are two other factors at play:

Convexity hedging flows

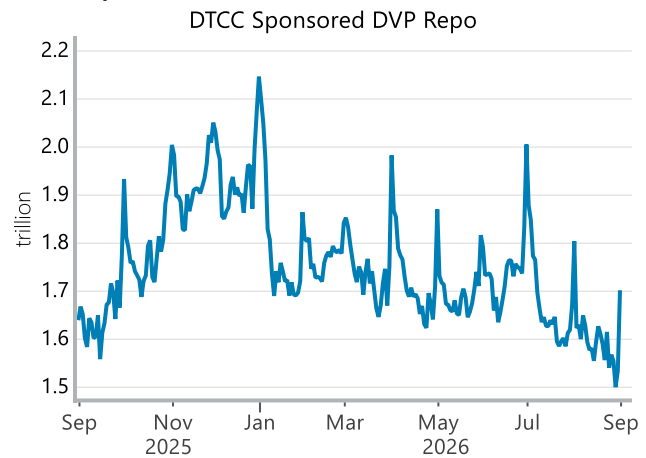
Asset manager net longs have more or less moved sideways over the past few months, but on a trend-adjusted basis, given the growth in total AUM this year. This suggests a reduced reliance on futures to add duration. At the same time, more convexity risk now sits in private hands. The Fed has been reducing its MBS holdings for several years now, and more recently produced MBS have a higher coupon (and underlying mortgage rate), meaning rate options are much closer to the money. With the Fed stepping back from the MBS market, higher convexity MBS are likely ending up at asset managers who are more likely to hedge this exposure, making convexity hedging an increasingly important part of the US rates market landscape. For instance, back in May we argued that MBS duration extension was a key force behind exceptionally soft funding markets (see [here](#)). All told, this means that as long-end rates sell off, MBS holdings extend asset managers' duration, and to offset this they reduce their long futures positions. On net that leaves futures less rich, compressing basis further.

Treasury's surprise increase in long-end buybacks:

A more proximate factor that likely accelerated the trend is Treasury's surprise announcement of an increase to long-end buybacks. Even though realized flows from the scaled-up program have yet to materialize, leveraged funds likely see even fewer RV opportunities ahead if Treasury is willing and able to intervene in the long end of the curve to dampen upward pressure on yields, which would reduce spline errors and compress long-end volatility.

FIGURE 3. ...leading to lower SOFR volumes...

Source: Federal Reserve, Barclays Research

FIGURE 4. ...and less need to offset balance sheet usage through cleared repo

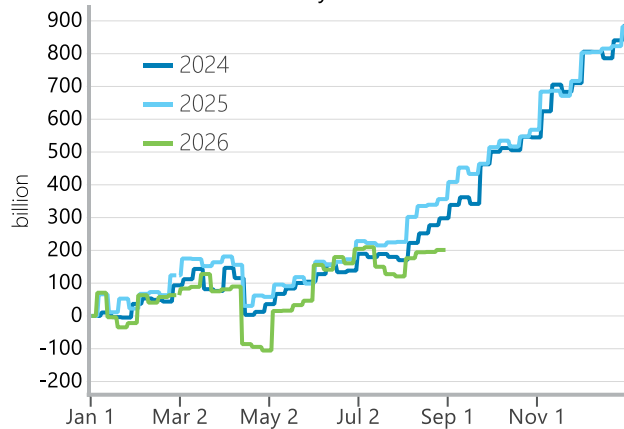
Source: DTCC, Barclays Research

For funding markets, that reduction in RV opportunities directly translates into reduced demand for Treasury repo financing. Incrementally fewer basis opportunities and other RV trades mean demand for dealers to finance those Treasury positions has declined. Importantly, this is happening at a time when there is already ample balance sheet capacity. We see this clearly in both the growth in leverage exposure at banks and the decline in sponsored repo activity. Sponsored DVP transactions have trended lower since peaking at the end of 2025, and over recent days fell to YTD lows (Figure 4). Sponsored repo has been an important balance sheet relief mechanism in the past, especially around regulatory snapshot dates, as it allows banks to net down the balance sheet impact of offsetting repo transactions. But running repo through sponsored clearing is not costless, as dealers must bear the associated margin costs. If banks have the leverage capacity to run uncleared activity, it is likely the lower-cost option. That means activity is migrating out of the cleared space not only from a reduction in financing demand but also because of the expanded balance sheet capacity itself.

This also suggests an unintended benefit of the scaled-up buyback program, with an effect similar to Treasury potentially investing its excess cash in the repo market. By tempering any sell-off at the long end, Treasury is providing support for spreads. The decline in leverage demand pushes in the same direction, with softer, smoother funding, supporting swap spreads from the funding leg. Together, Treasury should view these as helping reduce its issuance costs.

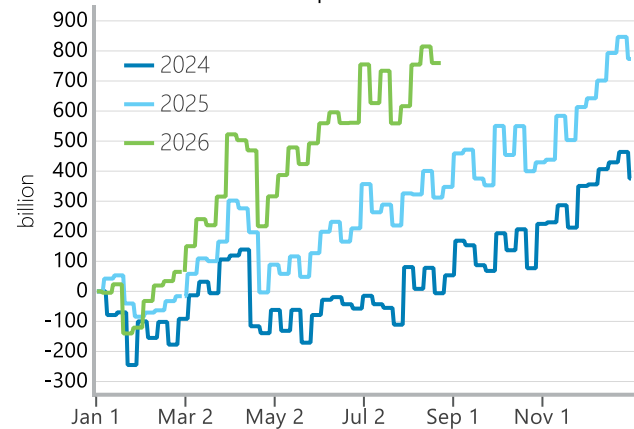
Indeed, swap spreads have benefited from increased leverage capacity in the banking system and a benign funding environment this year. Second-half performance has been notably stronger this year, despite heavy corporate issuance and selling pressure in long-end rates. In a low-volatility environment, with equities near record highs and few compelling arbitrage opportunities in the Treasury market with spline errors compressed, swap spreads continue to offer attractive carry.

FIGURE 5. Money fund growth appears to have slowed
YTD Money Fund Flows



Source: ICI, Barclays Research

FIGURE 6. But deposit growth is stronger
YTD Deposit Flows



Source: Federal Reserve H8, Barclays Research

Money market impact

What does that mean for repo rates? We think this dynamic raises the risk that funding stays softer for longer. SOFR levels are quite sensitive to several well-known factors: the level of reserves in the banking system, Treasury settlements, cumulative bill issuance, money fund AUM growth, and leverage demand, among others. We still expect pockets of pressure to emerge in Q4 given cumulative bill issuance, lower reserve levels associated with a higher TGA, and the Fed's pause in RMPs. Importantly, GSIB balance sheets are likely to come under pressure in Q4, not because leverage becomes binding, but as banks curtail certain activity to achieve lower systemic risk scores which factor into their capital needs in out years. But if the decline in leverage demand continues, it suggests a growing risk that slack in demand overwhelms these other factors.

One potential offset to further slackening in demand is the slowing trend growth in money fund AUM. [Figure 5](#) shows that flows this year are beginning to track below the levels seen over the past few years. It is still early, and the slowdown may prove ephemeral; our baseline remains that strong equity market performance should encourage households to rebalance some gains into cash. We had expected the yield advantage of money funds over deposits to support continued inflows into money funds relative to bank deposits. Instead, flows have largely tilted in favor of deposits despite that spread ([Figure 6](#)).

We are unsure what is driving the slowdown in money fund growth. The deceleration appears concentrated in retail funds rather than institutional funds, suggesting household behavior may be playing an important role. One possibility is that a more active issuance environment is encouraging investors to deploy cash into risk assets rather than maintain similar money fund balances as a share of wealth. A low household saving rate may also be limiting the pace of new cash accumulation. While corporate cash being redeployed to fund AI-related investment remains a possibility, the concentration of the slowdown in retail funds suggests otherwise. Regardless of the underlying driver, the dynamics suggest cash is moving to a sector or segment that has a higher propensity to place cash in bank deposits than in money funds.

All told we think these factors combined still tilt in favor of some funding pressures emerging in Q4. We have been recommending being short October SOFR/FF and continue to recommend that trade (entry: -1.5 bps).

FIGURE 7. Some firming in Q4, but softer conditions likely intensify in mid-to-late 2027

Money market rates (%)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27
Upper target	4.00	4.25	4.25	4.25	4.25	4.00
Fed funds effective	3.89	4.15	4.14	4.13	4.13	3.88
Lower target	3.75	4.00	4.00	4.00	4.00	3.75
SOFR	3.91	4.19	4.16	4.13	4.10	3.89
IORB	3.90	4.15	4.15	4.15	4.15	3.90
RRP	3.75	4.00	4.00	4.00	4.00	3.75
3m OIS	3.96	4.14	4.14	4.13	4.05	3.89
3m SOFR	3.99	4.16	4.14	4.10	4.04	3.91
3m bill - OIS (bp)	4	4	2	1	2	2

Source: Barclays Research estimates

Beyond the very near term, we expect funding to turn softer next year, as we wrote last week (see [here](#)). Fed balance sheet changes and debt limit dynamics both point in that direction, reinforced by Treasury actively suppressing volatility through its scaled-up buyback program and, at some point next year, potentially deploying excess cash into repo markets as has been proposed. As such, and following the [change in our economists' Fed call, where they now expect two hikes this year in September and December](#), we are updating our key money market rate forecasts through 2027 ([Figure 7](#)).

Analyst(s) Certification(s):

We, Amrut Nashikkar, Andres Mok, CFA and Samuel Earl, hereby certify (1) that the views expressed in this research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this research report and (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this research report.

Important Disclosures:

Barclays Research is produced by the Investment Bank of Barclays Bank PLC and its affiliates (collectively and each individually, "Barclays").

All authors contributing to this research report are Research Analysts unless otherwise indicated. The publication date at the top of the report reflects the local time where the report was produced and may differ from the release date provided in GMT.

Availability of Disclosures:

For current important disclosures regarding any issuers which are the subject of this research report please refer to <https://publicresearch.barclays.com> or alternatively send a written request to: Barclays Research Compliance, 745 Seventh Avenue, 13th Floor, New York, NY 10019 or call +1-212-526-1072.

Barclays Capital Inc. and/or one of its affiliates does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that Barclays may have a conflict of interest that could affect the objectivity of this report. Barclays Capital Inc. and/or one of its affiliates regularly trades, generally deals as principal and generally provides liquidity (as market maker or otherwise) in the debt securities that are the subject of this research report (and related derivatives thereof). Barclays trading desks may have either a long and / or short position in such securities, other financial instruments and / or derivatives, which may pose a conflict with the interests of investing customers. Where permitted and subject to appropriate information barrier restrictions, Barclays fixed income research analysts regularly interact with its trading desk personnel regarding current market conditions and prices. Barclays fixed income research analysts receive compensation based on various factors including, but not limited to, the quality of their work, the overall performance of the firm (including the profitability of the Investment Banking Department), the profitability and revenues of the Markets business and the potential interest of the firm's investing clients in research with respect to the asset class covered by the analyst. To the extent that any historical pricing information was obtained from Barclays trading desks, the firm makes no representation that it is accurate or complete. All levels, prices and spreads are historical and do not necessarily represent current market levels, prices or spreads, some or all of which may have changed since the publication of this document. Barclays Research Department produces various types of research including, but not limited to, fundamental analysis, equity-linked analysis, quantitative analysis, and trade ideas. Recommendations and trade ideas contained in one type of Barclays Research may differ from those contained in other types of Barclays Research, whether as a result of differing time horizons, methodologies, or otherwise.

In order to access Barclays Statement regarding Research Dissemination Policies and Procedures, please refer to <https://publicresearch.barclays.com/S/RD.htm>. In order to access Barclays Research Conflict Management Policy Statement, please refer to: <https://publicresearch.barclays.com/S/CM.htm>.

Disclosure(s) regarding Information Sources

Bloomberg® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg") and the Bloomberg Indices are trademarks of Bloomberg. Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Bloomberg does not approve or endorse this material, or guarantee the accuracy or completeness of any information herein, or make any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, Bloomberg shall have no liability or responsibility for injury or damages arising in connection therewith.

All pricing information is indicative only. Unless otherwise indicated, prices are sourced from LSEG Data & Analytics and reflect the closing price in the relevant trading market, which may not be the last available price at the time of publication.

Types of investment recommendations produced by Barclays FICC Research:

In addition to any ratings assigned under Barclays' formal rating systems, this publication may contain investment recommendations in the form of trade ideas, thematic screens, scorecards or portfolio recommendations that have been produced by analysts in FICC Research. Any such investment recommendations produced by non-Credit Research teams, including Sustainable Investing shall remain open until they are subsequently amended, rebalanced or closed in a future research report. Credit Factor Views remain open until periodically amended or subsequently closed in a future research report. Any other investment recommendations produced by the Credit Research teams are valid at current market conditions and may not be otherwise relied upon.

Disclosure of other investment recommendations produced by Barclays FICC Research:

Barclays FICC Research may have published other investment recommendations in respect of the same securities/instruments recommended in this research report during the preceding 12 months. To view all investment recommendations published by Barclays FICC Research in the preceding 12 months please refer to <https://live.barcap.com/go/research/Recommendations>.

Barclays does not assign ratings to asset backed securities. Barclays Capital Inc. and/or one of its affiliates may have acted as an underwriter for public offerings of any asset backed securities that are otherwise recommended in trade ideas contained within its securitised research reports.

Legal entities involved in producing Barclays Research:

Barclays Bank PLC (Barclays, UK)

Barclays Capital Inc. (BCI, US)

Barclays Bank Ireland PLC, Frankfurt Branch (BBI, Frankfurt)

Barclays Bank Ireland PLC, Paris Branch (BBI, Paris)

Barclays Bank Ireland PLC, Milan Branch (BBI, Milan)

Barclays Securities Japan Limited (BSJL, Japan)

Barclays Bank PLC, Hong Kong Branch (Barclays Bank, Hong Kong)

Barclays Bank Mexico, S.A. (BBMX, Mexico)

Barclays Capital Casa de Bolsa, S.A. de C.V. (BCCB, Mexico)

Barclays Securities (India) Private Limited (BSIPL, India)

Barclays Bank PLC, Singapore Branch (Barclays Bank, Singapore)

Barclays Bank PLC, DIFC Branch (Barclays Bank, DIFC)

Disclaimer:

This publication has been produced by Barclays Research Department in the Investment Bank of Barclays Bank PLC and/or one or more of its affiliates (collectively and each individually, "Barclays").

It has been prepared for institutional investors and not for retail investors. It has been distributed by one or more Barclays affiliated legal entities listed below or by an independent and non-affiliated third-party entity (as may be communicated to you by such third-party entity in its communications with you). It is provided for information purposes only, and Barclays makes no express or implied warranties, and expressly disclaims all warranties of merchantability or fitness for a particular purpose or use with respect to any data included in this publication. Barclays may provide research to certain categories of recipients that do not use it for investment purposes, including public and private companies in covered industries, media organisations, regulators, and academic institutions that use such research for their own internal informational, news gathering, regulatory or academic purposes. To the extent that this publication states on the front page that it is intended for institutional investors and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors under U.S. FINRA Rule 2242, it is an "institutional debt research report" and distribution to retail investors is strictly prohibited. Media organisations are prohibited from re-publishing any opinion or recommendation concerning a debt issuer or debt security contained in any Barclays institutional debt research report. Any recipients that do not want to continue receiving Barclays institutional debt research reports should contact debtresearch@barclays.com. Unless clients have agreed to receive "institutional debt research reports" as required by US FINRA Rule 2242, they will not receive any such reports that may be co-authored by non-debt research analysts. Eligible clients may get access to such cross asset reports by contacting debtresearch@barclays.com. Barclays will not treat unauthorized recipients of this report as its clients and accepts no liability for use by them of the contents which may not be suitable for their personal use. Prices shown are indicative and Barclays is not offering to buy or sell or soliciting offers to buy or sell any financial instrument.

Without limiting any of the foregoing and to the extent permitted by law, in no event shall Barclays, nor any affiliate, nor any of their respective officers, directors, partners, or employees have any liability for (a) any special, punitive, indirect, or consequential damages; or (b) any lost profits, lost revenue, loss of anticipated savings or loss of opportunity or other financial loss, even if notified of the possibility of such damages, arising from any use of this publication or its contents.

Other than disclosures relating to Barclays, the information contained in this publication (including third-party data) has been obtained from sources that Barclays Research believes to be reliable, but Barclays does not represent or warrant that it is accurate or complete. Third-party data, including third-party forecasts and predictions, is provided for information purposes only, has not been adopted or endorsed by Barclays, and does not represent the views or opinions of Barclays. Presentations by Third-Party Speakers: Any views or opinions expressed by third-party speakers during a Barclays-hosted event are solely those of the speaker and do not represent the views or opinions of Barclays. Barclays is not responsible for, and makes no warranties whatsoever as to, the information or opinions contained in any written, electronic, audio or video presentations by any third-party speakers, and such presentations have not been adopted or endorsed by Barclays and do not represent the views or opinions of Barclays. Content from third-party presentations is provided for information purposes only and has not been independently verified by Barclays for its accuracy or completeness.

The views in this publication are solely and exclusively those of the authoring analyst(s) and are subject to change, and Barclays Research has no obligation to update its opinions or the information in this publication. Unless otherwise disclosed herein, the analysts who authored this report have not received any compensation from the subject companies in the past 12 months. If this publication contains recommendations, they are general recommendations that were prepared independently of any other interests, including those of Barclays and/or its affiliates, and/or the subject companies. This publication does not contain personal investment recommendations or investment advice or take into account the individual financial circumstances or investment objectives of the clients who receive it. Barclays is not a fiduciary to any recipient of this publication. The securities and other investments discussed herein may not be suitable for all investors and may not be available for purchase in all jurisdictions. The United States imposed sanctions on certain Chinese companies (<https://ofac.treasury.gov/sanctions-programs-and-country-information/chinese-military-companies-sanctions>), which may restrict U.S. persons from purchasing securities issued by those companies. Investors must independently evaluate the merits and risks of the investments discussed herein, including any sanctions restrictions that may apply, consult any independent advisors they believe necessary, and exercise independent judgment with regard to any investment decision. The value of and income from any investment may fluctuate from day to day as a result of changes in relevant economic markets (including changes in market liquidity). The information herein is not intended to predict actual results, which may differ substantially from those reflected. Past performance is not necessarily indicative of future results. The information provided does not constitute a financial benchmark and should not be used as a submission or contribution of input data for the purposes of determining a financial benchmark.

This publication is not investment company sales literature as defined by Section 270.24(b) of the US Investment Company Act of 1940, nor is it intended to constitute an offer, promotion or recommendation of, and should not be viewed as marketing (including, without limitation, for the purposes of the UK Alternative Investment Fund Managers Regulations 2013 (SI 2013/1773) or AIFMD (Directive 2011/61)) or pre-marketing (including, without limitation, for the purposes of Directive (EU) 2019/1160) of the securities, products or issuers that are the subject of this report.

Third Party Distribution: Any views expressed in this communication are solely those of Barclays and have not been adopted or endorsed by any third party distributor.

United Kingdom: This document is being distributed (1) only by or with the approval of an authorised person (Barclays Bank PLC) or (2) to, and is directed at (a) persons in the United Kingdom having professional experience in matters relating to investments and who fall within the definition of "investment professionals" in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order"); or (b) high net worth companies, unincorporated associations and partnerships and trustees of high value trusts as described in Article 49(2) of the Order; or (c) other persons to whom it may otherwise lawfully be communicated (all such persons being "Relevant Persons"). Any investment or investment activity

to which this communication relates is only available to and will only be engaged in with Relevant Persons. Any other persons who receive this communication should not rely on or act upon it. Barclays Bank PLC is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority and is a member of the London Stock Exchange.

European Economic Area (“EEA”): This material is being distributed to any “Authorised User” located in a Restricted EEA Country by Barclays Bank Ireland PLC. The Restricted EEA Countries are Austria, Bulgaria, Estonia, Finland, Hungary, Iceland, Liechtenstein, Lithuania, Luxembourg, Malta, Portugal, Romania, Slovakia and Slovenia. For any other “Authorised User” located in a country of the European Economic Area, this material is being distributed by Barclays Bank PLC. Barclays Bank Ireland PLC is a bank authorised by the Central Bank of Ireland whose registered office is at 1 Molesworth Street, Dublin 2, Ireland. Barclays Bank PLC is not registered in France with the Autorité des marchés financiers or the Autorité de contrôle prudentiel. Authorised User means each individual associated with the Client who is notified by the Client to Barclays and authorised to use the Research Services. The Restricted EEA Countries will be amended if required.

Finland: Notwithstanding Finland’s status as a Restricted EEA Country, Research Services may also be provided by Barclays Bank PLC where permitted by the terms of its cross-border license.

Americas: The Investment Bank of Barclays Bank PLC undertakes U.S. securities business in the name of its wholly owned subsidiary Barclays Capital Inc., a FINRA and SIPC member. Barclays Capital Inc., a U.S. registered broker/dealer, is distributing this material in the United States and, in connection therewith accepts responsibility for its contents. Any U.S. person wishing to effect a transaction in any security discussed herein should do so only by contacting a representative of Barclays Capital Inc. in the U.S. at 745 Seventh Avenue, New York, New York 10019.

Non-U.S. persons should contact and execute transactions through a Barclays Bank PLC branch or affiliate in their home jurisdiction unless local regulations permit otherwise.

This material is distributed in Canada by Barclays Capital Canada Inc., a registered investment dealer, a Dealer Member of Canadian Investment Regulatory Organization (www.ciro.ca), and a Member of the Canadian Investor Protection Fund (CIPF).

This material is distributed in Mexico by Barclays Bank Mexico, S.A. and/or Barclays Capital Casa de Bolsa, S.A. de C.V. This material is distributed in the Cayman Islands and in the Bahamas by Barclays Capital Inc., which it is not licensed or registered to conduct and does not conduct business in, from or within those jurisdictions and has not filed this material with any regulatory body in those jurisdictions.

Japan: This material is being distributed to institutional investors in Japan by Barclays Securities Japan Limited. Barclays Securities Japan Limited is a joint-stock company incorporated in Japan with registered office of 6-10-1 Roppongi, Minato-ku, Tokyo 106-6131, Japan. It is a subsidiary of Barclays Bank PLC and a registered financial instruments firm regulated by the Financial Services Agency of Japan. Registered Number: Kanto Zaimukyokucho (kinsho) No. 143.

Asia Pacific (excluding Japan): Barclays Bank PLC, Hong Kong Branch is distributing this material in Hong Kong as an authorised institution regulated by the Hong Kong Monetary Authority. Registered Office: 41/F, Cheung Kong Center, 2 Queen’s Road Central, Hong Kong.

All Indian securities-related research and other equity research produced by Barclays’ Investment Bank are distributed in India by Barclays Securities (India) Private Limited (BSIPL). BSIPL is a company incorporated under the Companies Act, 1956 having CIN U67120MH2006PTC161063. BSIPL is registered and regulated by the Securities and Exchange Board of India (SEBI) as a Research Analyst: INH000001519; Portfolio Manager INP000002585; Stock Broker INZ000269539 (member of NSE and BSE); Depository Participant with the National Securities & Depositories Limited (NSDL): DP ID: IN-DP-NSDL-478-2020; Investment Adviser: INA000000391. BSIPL is also registered as a Mutual Fund Advisor having AMFI ARN No. 53308. The registered office of BSIPL is at Nirlon Knowledge Park, 9th floor, Block B-6, Off. Western Express Highway, Goregaon (East), Mumbai – 400063, India. Telephone No: +91 22 61754000 Fax number: +91 22 61754099. Any other reports produced by Barclays’ Investment Bank are distributed in India by Barclays Bank PLC, India Branch, an associate of BSIPL in India that is registered with Reserve Bank of India (RBI) as a Banking Company under the provisions of The Banking Regulation Act, 1949 (Regn No BOM43) and registered with SEBI as Merchant Banker (Regn No INM000002129) and also as Banker to the Issue (Regn No INBI00000950). Barclays Investments and Loans (India) Limited, registered with RBI as Non Banking Financial Company (Regn No RBI CoR-07-00258), and Barclays Wealth Trustees (India) Private Limited, registered with Registrar of Companies (CIN U93000MH2008PTC188438), are associates of BSIPL in India that are not authorised to distribute any reports produced by Barclays’ Investment Bank.

This material is distributed in Singapore by the Singapore Branch of Barclays Bank PLC, a bank licensed in Singapore by the Monetary Authority of Singapore. For matters in connection with this material, recipients in Singapore may contact the Singapore branch of Barclays Bank PLC, whose registered address is 10 Marina Boulevard, #23-01 Marina Bay Financial Centre Tower 2, Singapore 018983.

This material, where distributed to persons in Australia, is produced or provided by Barclays Bank PLC.

This communication is directed at persons who are a “Wholesale Client” as defined by the Australian Corporations Act 2001.

Please note that the Australian Securities and Investments Commission (ASIC) has provided certain exemptions to Barclays Bank PLC (BBPLC) under paragraph 911A(2)(l) of the Corporations Act 2001 from the requirement to hold an Australian financial services licence (AFSL) in respect of financial services provided to Australian Wholesale Clients, on the basis that BBPLC is authorised by the Prudential Regulation Authority of the United Kingdom (PRA) and regulated by the Financial Conduct Authority (FCA) of the United Kingdom and the PRA under United Kingdom laws. The United Kingdom has laws which differ from Australian laws. To the extent that this communication involves the provision of financial services by BBPLC to Australian Wholesale Clients, BBPLC relies on the relevant exemption from the requirement to hold an AFSL. Accordingly, BBPLC does not hold an AFSL.

This communication may be distributed to you by either: (i) Barclays Bank PLC directly, (ii) Barrenjoey Markets Pty Limited (ACN 636 976 059, “Barrenjoey”), the holder of Australian Financial Services Licence (AFSL) 521800, a non-affiliated third party distributor, where clearly identified to you by Barrenjoey. Barrenjoey is not an agent of Barclays Bank PLC or (iii) such other non-affiliated third-party distributor(s) as may be clearly identified to you. Such non-affiliated third-party distributor(s) are not agents of Barclays Bank PLC.

This material, where distributed in New Zealand, is produced or provided by Barclays Bank PLC. Barclays Bank PLC is not registered, filed with or approved by any New Zealand regulatory authority. This material is not provided under or in accordance with the Financial Markets Conduct Act of 2013 (“FMCA”), and is not a disclosure document or “financial advice” under the FMCA. This material is distributed to you by either: (i) Barclays Bank PLC directly or (ii) Barrenjoey Markets Pty Limited (“Barrenjoey”), a non-affiliated third party distributor, where clearly identified to you by Barrenjoey. Barrenjoey is not an agent of Barclays Bank PLC. This material may only be distributed to “wholesale investors” that meet the “investment business”, “investment activity”, “large”, or “government agency” criteria specified in Schedule 1 of the FMCA.

Middle East: Nothing herein should be considered investment advice as defined in the Israeli Regulation of Investment Advisory, Investment Marketing and Portfolio Management Law, 1995 (“Advisory Law”). This document is being made to eligible clients (as defined under the Advisory Law) only. Barclays Israeli branch previously held an investment marketing license with the Israel Securities Authority but it cancelled such license on 30/11/2014 as it solely provides its services to eligible clients pursuant to available exemptions under the Advisory Law, therefore a license with the Israel Securities Authority is not required. Accordingly, Barclays does not maintain an insurance coverage pursuant to the Advisory Law.

This material is distributed in the United Arab Emirates (including the Dubai International Financial Centre) and Qatar by Barclays Bank PLC. Barclays Bank PLC in the Dubai International Financial Centre (Registered No. 0060) is regulated by the Dubai Financial Services Authority (DFSA). Principal place of business in the Dubai International Financial Centre: The Gate Village, Building 4, Level 4, PO Box 506504, Dubai, United Arab Emirates. Barclays Bank PLC-DIFC Branch, may only undertake the financial services activities that fall within the scope of its existing DFSA licence. Related financial products or services are only available to Professional Clients, as defined by the Dubai Financial Services Authority. Barclays Bank PLC in the UAE is regulated by the Central Bank of the UAE and is licensed to conduct business activities as a branch of a commercial bank incorporated outside the UAE in Dubai (Licence No.: 13/1844/2008, Registered Office: Building No. 6, Burj Dubai Business Hub, Sheikh Zayed Road, Dubai City) and Abu Dhabi (Licence No.: 13/952/2008, Registered Office: Al Jazira Towers, Hamdan Street, PO Box 2734, Abu Dhabi). This material does not constitute or form part of any offer to issue or sell, or any solicitation of any offer to subscribe for or purchase, any securities or investment products in the UAE (including the Dubai International Financial Centre) and accordingly should not be construed as such. Furthermore, this information is being made available on the basis that the recipient acknowledges and understands that the entities and securities to which it may relate have not been approved, licensed by or registered with the UAE Central Bank, the Dubai Financial Services Authority or any other relevant licensing authority or governmental agency in the UAE. The content of this report has not been approved by or filed with the UAE Central Bank or Dubai Financial Services Authority. Barclays Bank PLC in the Qatar Financial Centre (Registered No. 00018) is authorised by the Qatar Financial Centre Regulatory Authority (QFCRA). Barclays Bank PLC-QFC Branch may only undertake the regulated activities that fall within the scope of its existing QFCRA licence. Principal place of business in Qatar: Qatar Financial Centre, Office 1002, 10th Floor, QFC Tower, Diplomatic Area, West Bay, PO Box 15891, Doha, Qatar. Related financial products or services are only available to Business Customers as defined by the Qatar Financial Centre Regulatory Authority.

Russia: This material is not intended for investors who are not Qualified Investors according to the laws of the Russian Federation as it might contain information about or description of the features of financial instruments not admitted for public offering and/or circulation in the Russian Federation and thus not eligible for non-Qualified Investors. If you are not a Qualified Investor according to the laws of the Russian Federation, please dispose of any copy of this material in your possession.

Sustainable Investing Related Research: There is currently no globally accepted framework or definition (legal, regulatory or otherwise) of, nor market consensus as to what constitutes a ‘sustainable’, ‘ESG’, ‘green’, ‘climate-friendly’ or an equivalent company, investment, strategy or consideration or what precise attributes are required to be eligible to be categorised by such terms. This means there are different ways to evaluate a company or an investment and so different values may be placed on certain sustainability credentials as well as adverse ESG-related impacts of companies and ESG controversies. The evolving nature of sustainable investing considerations, models and methodologies means it can be challenging to definitively and universally classify a company or investment under a sustainable investing label and there may be areas where such companies and investments could improve or where adverse ESG-related impacts or ESG controversies exist. The evolving nature of sustainable finance related regulations and the development of jurisdiction-specific regulatory criteria also means that there is likely to be a degree of divergence as to the interpretation of such terms in the market. We expect industry guidance, market practice, and regulations in this field to continue to evolve.

Any information, data, image, or other content including from a third party source contained, referred to herein or used for whatsoever purpose by Barclays or a third party (“Information”), in relation to any actual or potential ‘ESG’, ‘sustainable’ or equivalent objective, issue, factor or consideration is not intended to be relied upon for ESG or sustainability classification, regulatory regime or industry initiative purposes (“ESG Regimes”), unless otherwise stated. Nothing in these materials, including any images included therein, is intended to convey, suggest or indicate that Barclays considers or represents any product, service, person or body mentioned in these materials as meeting or qualifying for any ESG or sustainability classification, label or similar standards that may exist under ESG Regimes. Barclays has not conducted any assessment of compliance with ESG Regimes. Parties are reminded to make their own assessments for these purposes.

IRS Circular 230 Prepared Materials Disclaimer: Barclays does not provide tax advice and nothing contained herein should be construed to be tax advice. Please be advised that any discussion of U.S. tax matters contained herein (including any attachments) (i) is not intended or written to be used, and cannot be used, by you for the purpose of avoiding U.S. tax-related penalties; and (ii) was written to support the promotion or marketing of the transactions or other matters addressed herein. Accordingly, you should seek advice based on your particular circumstances from an independent tax advisor.

© Copyright Barclays Bank PLC (2026). All rights reserved. No part of this publication may be reproduced or redistributed in any manner without the prior written permission of Barclays. Barclays Bank PLC is registered in England No. 1026167. Registered office 1 Churchill Place, London, E14 5HP. Additional information regarding this publication will be furnished upon request.

BRCF2242